

Table 51.10 Trading Tactics

Trading Tactic	Explanation
Measure rule	Measure the height of the rectangle by subtracting the value of the trendlines from each other. For upward breakouts, add the height to the top trendline; for downward breakouts, subtract the value from the bottom trendline. The bottom portion of the table shows how often this method works.
Wait for breakout	Since you cannot be sure in which direction a rectangle will break out, wait for price to <i>close</i> outside the trendline border before trading in the direction of the breakout. Consider avoiding shorting after a downward breakout in bull markets (those bust 43% of the time).
Tall rectangle scalp	If the rectangle is tall enough, sell or sell short near the top trendline and buy or cover near the bottom trendline.
Throwbacks, pullbacks	If you have a downward breakout, watch for a pullback and short the stock or add to your short position once price begins descending again. Use the same technique for an upward breakout: Wait for the throwback, then initiate or add to your position when price rises.
Other	Watch for rectangles forming as the corrective phase of a measured move formation and adjust the target price accordingly.
Stop location	See Table 51.7 for stop location guidance.
Busted trade	Single busted rectangles in bull markets after downward breakouts do especially well.

Description	Bull Market, Up Breakout	Bull Market, Down Breakout	Bear Market, Down Breakout
Percentage reaching half height target	90%	79%	88%
Percentage reaching full height target	79%	55%	69%